

MEETING PRESENTATION

SAT, 08 APRIL 2017
DIC OFFICE, DUBAI



MEETING AGENDA POINTS



01. ANALYZING UNITECH & SFSP'S PERFORMANCE DURING THE FIRST QUARTER OF 2017.
02. GENERAL OVERVIEW OF THE MARKET BY AGM'S & MARKET OUTLOOK 2017.
03. MANAGERIAL REQUIREMENTS FROM AGM/AUTHORITIES & EFFECTIVE MANAGEMENT.
04. SUCCESSION PLAN (AREAS, BRANCHES) & TRAINING SUCCESSION (SECOND & THIRD LINE OF THE MANAGEMENT AND THEIR TRAINING PLANS.
05. BRIDGING THE COMMUNICATION GAP BETWEEN UNITECH A & B
06. REORGANIZING RECOMMENDATION OF BRANCH/AREA
07. REORGANIZING TRADERS DIVISION
08. ADDING NEW PRODUCTS TO UNITECH'S PRODUCT BASKET.
09. DIVERSIFICATION NEEDS IN ALL AREAS & DEVELOPING PRODUCT PORTFOLIO PROCESS
10. THE IMPLEMENTATION OF ACTUAL PROVISIONS BY ERP ON THE INCOME STATEMENTS ON MONTHLY BASIS, ACCOUNTS RECEIVABLES AND INVENTORY PROVISIONS (POLICY/FORMULA/IMPLEMENTATION).
11. UTILIZATION OF CITD FACILITIES IN THE OPERATION
12. RETAINING TALENT & RIGHT SIZING
13. STAFF RETIREMENT/GOVERNMENT REGULATION IN KSA
14. REQUIREMENTS IN SFSP DURING 2017 AND UPCOMING REQUIREMENT DURING 2018
15. PROCESS OF SFSP KSA MOVING INTO THE NEW FACILITY JIC-3

UNITECH'S PERFORMANCE

1ST QUARTER OF 2017



UNITECH'S PERFORMANCE (BUDGET VS. ACTUAL)

COUNTRY / BRANCH		BUDGETS (AS OF MARCH 2017)				ACTUALS (AS OF MARCH 2017)							
		SALES	GROSS	%	COLLECTIONS	SALES	GROSS	%	COLLECTIONS	OVERDUES	TOTAL A/R	OD OVER 360	STOCKS
UNITECH JEDDAH	SAR	28,250,000	7,250,000	25.66	30,625,000	21,198,242	6,276,379	29.61	16,425,638	63,735,686	78,595,155	35,825,484	11,075,019
UNITECH MAKKAH	SAR	8,274,926	2,250,000	27.19	10,500,000	6,765,355	2,256,230	33.35	4,259,333	27,153,677	33,192,136	14,100,345	1,103,604
UNITECH MADINA	SAR	8,675,000	2,025,000	23.34	6,500,000	8,156,709	2,063,299	25.30	9,414,761	12,422,861	20,174,463	4,278,255	6,135,405
UNITECH YANBU	SAR	3,000,000	750,000	25.00	2,500,000	2,638,971	664,967	25.20	2,145,052	5,888,361	8,073,917	2,673,759	683,339
UNITECH KHAMMIS	SAR	14,500,000	3,250,000	22.41	15,425,000	10,122,269	2,156,752	21.31	7,146,190	17,362,245	24,909,949	2,633,671	3,487,633
UNITECH GIZAN	SAR	8,625,000	1,975,000	22.90	10,175,000	8,289,683	2,048,331	24.71	7,598,268	15,670,850	23,881,293	4,576,519	3,698,402
UNITECH KUWAIT	SAR	3,705,000	741,000	20.00	3,705,000	3,835,703	886,168	23.10	3,319,438	2,571,081	4,674,372	587,663	869,668
UNITECH A1	SAR	75,029,926	18,241,000	24.31	79,430,000	61,006,936	16,352,126	26.80	50,308,679	144,804,761	193,501,286	64,675,696	27,052,800
UNITECH CENTRAL	SAR	40,375,000	9,880,000	24.47	40,000,000	28,554,313	7,104,859	24.88	21,355,192	40,439,748	63,277,489	12,625,219	18,008,441
UNITECH CENTRAL N.	SAR	11,500,000	2,785,000	24.22	11,000,000	9,114,322	1,897,392	20.82	8,558,614	8,435,833	14,927,197	1,790,609	5,355,435
UNITECH DAMMAM	SAR	20,500,000	4,750,000	23.17	22,000,000	19,713,016	4,154,326	21.07	11,452,236	31,021,540	48,107,874	5,171,832	13,464,525
UNITECH JUBAIL	SAR	8,250,000	2,062,500	25.00	9,000,000	10,111,870	2,651,886	26.23	9,375,722	16,760,960	25,545,254	1,505,017	4,932,855
UNITECH HOFUF	SAR	7,425,000	1,722,250	23.20	7,000,000	5,760,431	1,415,359	24.57	7,778,375	6,782,819	11,058,548	3,865,992	5,479,571
UNITECH BAHRAIN	SAR	875,000	236,250	27.00	825,000	633,467	170,129	26.86	425,741	1,194,712	1,757,791	350,683	4,239
UNITECH A2	SAR	88,925,000	21,436,000	24.11	89,825,000	73,887,419	17,393,951	23.54	58,945,880	104,635,613	164,674,153	25,309,252	47,245,065
UNITECH A	SAR	163,954,926	39,677,000	24.20	169,255,000	134,894,355	33,746,077	25.02	109,254,559	249,440,373	358,175,439	89,985,048	74,297,865
UNITECH DUBAI	AED	30,000,000	7,350,781	24.50	32,199,382	28,758,747	6,672,461	23.20	25,471,221	23,674,226	53,917,626	2,765,816	11,778,416
UNITECH ABU DHABI	AED	17,500,000	4,639,750	26.51	19,258,243	17,613,580	4,692,918	26.64	17,094,539	15,570,006	32,459,249	2,401,903	7,240,038
UNITECH UAE	AED	47,500,000	11,990,531	25.24	51,457,625	46,372,327	11,365,380	24.51	42,565,761	39,244,233	86,376,874	5,167,719	19,018,454
UNITECH OMAN	OMR	600,000	162,000	27.00	745,799	495,648	176,445	35.60	676,516	813,480	1,255,223	2,260	203,995
UNITECH JORDAN	JOD	500,000	130,000	26.00	508,187	295,449	99,849	33.80	221,248	536,847	798,868	162,175	386,773
UNITECH B1	SAR	56,934,000	14,494,622	25.46	62,434,086	53,867,357	13,838,463	25.78	51,174,533	50,786,965	104,548,303	6,149,369	23,427,894
UNITECH QATAR	QAR	20,000,000	5,340,001	26.70	19,623,623	17,977,848	4,860,020	27.03	15,335,635	9,702,999	28,053,159	2,195,712	11,066,464
UNITECH LEBANON	USD	1,175,000	332,360	28.29	1,274,600	1,132,223	339,851	30.02	1,151,439	782,384	2,047,192	355,251	923,550
UNITECH EGYPT	EGP	12,875,000	2,501,250	19.43	11,646,618	8,952,702	2,337,435	26.11	10,135,714	6,155,788	15,521,117	1,988,310	2,066,800
UNITECH B2	SAR	27,581,250	7,246,801	26.27	27,321,405	24,757,264	6,747,750	27.26	22,140,743	14,177,725	39,675,948	3,991,435	15,275,131
UNITECH B	SAR	84,515,250	21,741,423	25.72	89,755,491	78,444,622	20,586,213	26.24	73,315,276	64,694,690	144,224,251	10,140,804	38,703,025
UNITECH A + B	SAR	248,470,176	61,418,423	24.72	259,010491	213,338,977	54,332,290	25.47	182,569,385	314,405,603	502,399,690	100,125,852	113,000,890

UNITECH'S PERFORMANCE (2016 vs. 2017)

COUNTRY / BRANCH		ACTUAL AS OF MARCH 2016					ACTUAL AS OF MARCH 2017				
		SALES	GROSS	%	COLLECTIONS	TOTAL A/R	SALES	GROSS	%	COLLECTIONS	TOTAL A/R
UNITECH JEDDAH	SAR	22,191,927	6,809,301	30.68	7,199,294	71,963,862	21,198,242	6,276,379	29.61	16,425,638	78,595,155
UNITECH MAKKAH	SAR	7,203,305	2,358,647	32.74	1,631,353	26,482,364	6,765,355	2,256,230	33.35	4,259,333	33,192,136
UNITECH MADINA	SAR	8,442,025	2,119,864	25.11	3,290,533	17,039,718	8,156,709	2,063,299	25.30	9,414,761	20,174,463
UNITECH YANBU	SAR	2,638,331	763,424	28.94	2,475,834	6,075,132	2,638,971	6,664,967	25.20	2,145,052	8,073,917
UNITECH KHAMMIS	SAR	13,085,950	2,757,633	21.07	8,761,592	23,314,060	10,122,269	2,156,752	21.31	7,146,190	24,909,949
UNITECH GIZAN	SAR	7,247,746	1,636,843	22.58	2,349,294	17,303,587	8,289,683	2,048,331	24.71	7,598,268	23,881,293
UNITECH KUWAIT	SAR	2,845,844	546,029	19.19	2,358,997	3,901,438	3,835,703	886,168	23.10	3,319,438	4,674,372
UNITECH A1	SAR	63,655,127	16,991,740	26.69	28,066,896	166,080,160	61,006,936	16,352,126	26.80	50,308,679	193,501,286
UNITECH CENTRAL	SAR	33,480,290	8,106,986	24.21	24,648,234	60,444,581	28,554,313	7,104,859	24.88	21,355,192	63,277,489
UNITECH CENTRAL N.	SAR	10,287,335	2,377,919	23.12	8,515,061	13,991,151	9,114,322	1,897,392	20.82	8,558,614	14,927,197
UNITECH DAMMAM	SAR	19,368,362	4,643,943	23.98	12,825,909	37,055,261	19,713,016	4,154,326	21.07	11,452,236	48,107,874
UNITECH JUBAIL	SAR	6,890,261	1,688,137	24.50	3,645,785	14,344,859	10,111,870	2,651,886	26.23	9,375,722	25,545,254
UNITECH HOFUF	SAR	6,597,117	1,830,207	27.74	7,442,941	15,230,926	5,760,431	1,415,359	24.57	7,778,375	11,058,548
UNITECH BAHRAIN	SAR	519,609	141,798	27.29	390,204	1,646,981	633,467	170,129	26.86	425,741	1,757,791
UNITECH A2	SAR	77,142,973	18,788,992	24.36	57,468,134	142,713,758	73,887,419	17,393,951	23.54	58,945,880	164,674,153
UNITECH A	SAR	140,798,100	35,780,731	25.41	85,535,031	308,793,918	134,894,355	33,746,077	25.02	109,254,559	358,175,439
UNITECH DUBAI	AED	25,298,296	6,243,504	24.68	20,132,078	47,393,344	28,758,747	6,672,461	23.20	25,471,221	53,917,626
UNITECH ABU DHABI	AED	16,862,121	4,974,959	29.50	15,722,245	30,909,473	17,613,580	4,692,918	26.64	17,094,539	32,459,249
UNITECH UAE	AED	42,160,417	11,218,463	26.61	35,854,323	78,302,817	46,372,327	11,365,380	24.51	42,565,761	86,376,874
UNITECH OMAN	OMR	409,095	118,869	29.06	234,890	666,825	495,648	176,445	35.60	676,516	1,255,223
UNITECH JORDAN	JOD	323,715	85,862	26.52	315,855	706,346	295,449	99,849	33.80	221,248	798,868
UNITECH B1	SAR	48,697,426	13,053,966	26.81	40,526,954	90,093,258	53,867,357	13,838,463	25.78	51,174,533	104,548,303
UNITECH QATAR	QAR	16,069,841	4,145,261	25.80	17,112,637	19,580,041	17,977,848	4,860,020	27.03	15,335,635	28,053,159
UNITECH LEBANON	USD	1,006,039	289,013	28.73	922,281	1,959,223	1,132,223	339,851	30.02	1,151,439	2,047,192
UNITECH EGYPT	EGP	5,997,604	1,380,589	23.02	7,179,717	9,243,731	8,952,702	2,337,435	26.11	10,135,714	15,521,117
UNITECH B2	SAR	21,524,102	5,629,534	26.15	22,520,515	29,363,276	24,757,264	6,747,750	27.26	22,140,743	39,675,948
UNITECH B	SAR	70,221,528	18,683,500	26.61	63,047,469	119,456,534	78,444,622	20,586,213	26.24	73,315,276	144,224,251
UNITECH A + B	SAR	211,019,628	54,464,232	25.81	148,582,500	428,250,452	213,338,977	54,332,290	25.47	182,569,385	502,399,690

SFSP'S PERFORMANCE

1ST QUARTER OF 2017



SFSP's PERFORMANCE

COUNTRY / FACILITY		BUDGETS (AS OF MARCH 2017)			ACTUALS (AS OF MARCH 2017)		
		SALES	GROSS	%	SALES	GROSS	%
SFSP KSA	SAR	31,459,375	10,446,484	33.21	29,894,044	8,809,718	29.47
SFSP DIC	AED	31,250,000	9,200,000	29.44	35,113,682	10,753,911	30.63
SFSP LEBANON	USD	270,000	94,500	35.00	273,943	107,248	39.15
SFSP EGYPT	EGP	9,375,000	2,062,500	22.00	11,945,810	2,151,504	18.01
TOTAL SFSP	SAR	66,221,875	20,597,359	31.30	69,126,446	20,611,187	29.82

COUNTRY / FACILITY		ACTUALS (AS OF MARCH 2016)				ACTUALS (AS OF MARCH 2017)			
		SALES	GROSS	%	TONNAGE	SALES	GROSS	%	TONNAGE
SFSP KSA	SAR	26,766,225	8,662,151	32.36	6,299	29,894,044	8,809,718	29.47	6,589
SFSP DIC	AED	27,545,542	7,664,003	27.82	5,728	35,113,682	10,753,911	30.63	7,915
SFSP LEBANON	USD	237,959	51,556	21.67	42	273,943	107,248	39.15	58
SFSP EGYPT	EGP	5,127,071	1,126,680	21.98	467	11,945,810	2,151,504	18.01	572
TOTAL SFSP	SAR	56,780,438	16,898,104	29.76	12,536	69,126,446	20,611,187	29.82	15,249

SFSP's PERFORMANCE



SFSP KSA

PENDING ORDER SAR. 6,838,490

PRODUCED TONNAGE (1ST QTR.) 6,589 TONS
(6,299 TONS PRODUCED DURING THE 1ST QUARTER OF 2016)
4.60% INCREASE COMPARED TO THE RESULTS IN THE SAME PERIOD OF LAST YEAR (2016)

TOTAL REVENUE (1ST QTR.) SAR. 29,894,044

TOTAL STOCK AVAILABLE SAR. 9,224,324

COMMENTS:

SFSP KSA, NOW A DAYS SUFFERING FROM SHORTAGE OF THE MANPOWER (LABORS) AND OVERTIME, BUT THE MANAGEMENT DECIDED TO CHANGE THE STRATEGY IN THE MIDDLE OF MARCH TO HAVE A BETTER RESULTS THAT WOULD BE REFLECTED IN THE SECOND QUARTER.

SFSP's PERFORMANCE



SFSP DIC

PENDING ORDER

AED. 15,405,831

PRODUCED TONNAGE (1ST QTR.)

7,926 TONS
(5,336 TONS PRODUCED DURING THE 1ST QUARTER OF 2016)
38.18% INCREASE COMPARED TO THE RESULTS IN THE SAME PERIOD OF LAST YEAR (2016)

TOTAL REVENUE (1ST QTR.)

AED. 35,113,682 @ 28% FULLFILMENT OF THE YEARLY TARGET

TOTAL STOCK AVAILABLE

AED. 10,393,712

COMMENTS:

SFSP UAE, IN TERMS OF PENDING ORDERS FOR THE PAST MONTHS THAT HAS BEEN OBSERVE IS STILL PROMISING NOTING THAT MOST OF THE RUNNING LINES HAVE AVAILABLE ORDERS, EXCEPT WE HAVE DEFICIT IN SO (BLOCK LADDERS ORDERS), SU (GYPSUM PROFILES), IF WE CONTINUE TO RECEIVE THE ORDERS TRENDS IN THE COMING MONTHS THEN SFPS UAE IS OPTIMISTIC THAT WE CAN CLOSE THE 2ND QUARTER TARGET IN A HIGH PROBABILITY.

SFSP UAE CURRENTLY WORKS TO GET LISTED ON UL CERTIFICATION FOR GARBAGE CHUTE DOOR, SHUTTER DOOR, AND C CHANNEL ITEMS.

SFSP UAE, PLANNING TO START THE RENOVATION OF THE EXISTING HDG PLANT AVAILABLE IN THE FACTORY IN THE MIDDLE OF MAY OR BEGINNING OF JUNE. AS A RESULT OF DIPPING IN THE MONTH OF MARCH, SFSP UAE ACHIEVES 921 TONS, WITH DIPPING TOTAL RESULTS OF 2,307 TONS DURING THE FIRST QUARTER.

WE ARE TRYING TO BRIDGE THE GAP OF DELIVERY OF VOLUME OF PENDING ORDERS SPECIALLY IN SM-EXPANDED METAL ITEMS BY ALLOCATING THE OTHER ORDERS TO OUR OTHER FACTORY LIKE IN SFSP JEDDAH AND SFSP EGYPT TO MEET THE LEAD TIME.

SFSP's PERFORMANCE



SFSP EGYPT

PENDING ORDER EGP. 10,850,000

PRODUCED TONNAGE (1ST QTR.) 572 TONS
(467 TONS PRODUCED DURING THE 1ST QUARTER OF 2016)
22.48% INCREASE COMPARED TO THE RESULTS IN THE SAME PERIOD OF LAST YEAR (2016)

TOTAL REVENUE (1ST QTR.) EGP. 11,750,000

TOTAL STOCK AVAILABLE EGP. 1,704,493

COMMENTS:

SFSP EGYPT, EXPECT GOOD RESULTS IN APRIL AND MAY AS PER THE AVAILABLE PENDING ORDERS AND I THINK WE CAN END UP WITH 40 MILLION EGP REVENUES IN 2017.

SFSP EGYPT, EXPECTING A DECLINE IN THE PENDING ORDERS BY THE END OF MAY 2017 AND WE SHALL WORK ON AVOIDING THAT DECLINE TO CONTINUE ON THE SAME PERFORMANCE.

SFSP EGYPT IS STILL SUFFERING BECAUSE OF THE SCARCITY OF FUND. AND STILL FACING PROBLEM OF SECURING RAW MATERIALS IS STILL VALID, WE HAVE PROBLEM IN SECURING RAW MATERIALS SINCE MORE THAN A MONTH AND THAT CAUSED LOTS OF PROBLEMS WITH OUR CLIENTS AND CANCELATION OF MANY ORDERS (SPECIALLY FROM UNITECH QATAR) BECAUSE WE COULDN'T DELIVER ON TIME AS REQUIRED.

SFSP EGYPT IS PLANNING OF BUILDING A WAREHOUSE AND A HANGAR, WHICH IS REALLY IMPORTANT TO REDUCE THE WASTAGE OF THE FINISHED PRODUCTS AND RAW MATERIALS STORED IN OPEN AIR.

SFSP's PERFORMANCE



SFSP LEBANON

PENDING ORDER	USD. 187,350
PRODUCED TONNAGE (1ST QTR.)	58 TONS (42 TONS PRODUCED DURING THE 1ST QUARTER OF 2016) 38.10% INCREASE COMPARED TO THE RESULTS IN THE SAME PERIOD OF LAST YEAR (2016)
TOTAL REVENUE (1ST QTR.)	USD. 273,942 @ 25% FULLFILMENT OF THE YEARLY TARGET
TOTAL STOCK AVAILABLE	USD. 447,459

COMMENTS:

SFSP LEBANON, CURRENTLY FACING THE LEAD TIME IN TERMS OF THE SUPPLY OF RAW MATERIALS LIKE SS ROUND ROD AND WIRE, WITH LIMITED AVAILABILITY IN THE LOCAL MARKET DUE TO SPECIAL SIZE REQUIREMENT, IN TERMS OF PURCHASING RAW MATERIALS SUCH AS SS SHEETS WHICH ARE AVAILABLE IN LOCAL MARKET BUT WITH HIGHER PRICES, SO AS SFSP LEBANON DECIDED TO GET THE RAW MATERIALS FROM ABROAD WITH A REASONABLE OFFER AND PAYMENTS TERMS THROUGH TOSL.

GENERAL OVERVIEW OF THE MARKET BY AGM'S



OPEN
DISCUSSION



MARKET OUTLOOK 2017



MARKET OUTLOOK 2017



SAUDI ARABIA

SAUDI ARABIA HAS CONTINUED TO IMPLEMENT OIL PRODUCTION CUTS IN COMPLIANCE WITH OPEC'S 30 NOVEMBER DEAL.

IN JANUARY, OIL PRODUCTION FELL BELOW THE 10 MILLION BARRELS PER DAY MARK FOR THE FIRST TIME SINCE FEBRUARY 2015. LOWER PRODUCTION IS EXPECTED TO DRAG ON THE ALL-IMPORTANT OIL SECTOR THROUGHOUT THIS YEAR.

ON THE UPSIDE, AN IMPROVED OUTLOOK FOR OIL PRICES AND SIGNS OF STRONGER GLOBAL GROWTH ARE PROPELLING ACTIVITY IN THE NON-OIL SECTOR.

IN FEBRUARY, THE PMI FOR THE NON-HYDROCARBON SECTOR REMAINED FIRMLY ENTRENCHED IN POSITIVE TERRITORY. INTERBANK RATES DECLINED MARKEDLY IN FEBRUARY, SIGNALING IMPROVING LIQUIDITY CONDITIONS FOLLOWING THE LIQUIDITY CRUNCH THAT PERSISTED FOR MOST OF LAST YEAR. MOREOVER, IMPROVING ECONOMIC CONDITIONS WILL EASE SOME OF THE AUSTERITY THAT PLAGUED GROWTH IN 2016.



BAHRAIN

BAHRAIN'S ECONOMY IS LIKELY TO HAVE CONTINUED TO EXPAND AT A REASONABLE PACE IN Q4 2016.

GROWTH SHOULD HAVE BEEN BUTTRESSED BY THE NON-OIL SECTOR, WHICH IN RECENT QUARTERS HAS PICKED UP SOME OF THE SLACK GENERATED AS A RESULT OF LOWER OIL EXPORT PRICES.

THE CONSTRUCTION INDUSTRY IN PARTICULAR LOOKS SET TO HAVE BEEN PIVOTAL TO GROWTH, WITH A SIGNIFICANT SPILLOVER EFFECT TO OTHER ECONOMIC SECTORS AS A RESULT OF STRONG ECONOMIC LINKAGES.

INVESTMENT IN THE INDUSTRY IN Q4 WAS SPEAR-HEADED BY THE GCC DEVELOPMENT FUND AND WAS ESPECIALLY GEARED TOWARDS REAL ESTATE, WITH THE AWARDING OF SEVERAL FLAGSHIP PROJECTS.

CONSTRUCTION IS PROVING TO BE A POTENT COUNTER-CYCLICAL DRIVER AND IS HELPING COUNTERACT THE EFFECT OF ONGOING FISCAL CONSOLIDATION EFFORTS ON DOMESTIC DEMAND.



KUWAIT

THE KUWAITI PARLIAMENT IS CURRENTLY EXAMINING LEGISLATION THAT WOULD SCRAP THE SUBSIDY CUTS INTRODUCED LAST YEAR IN AN EFFORT TO REIN IN THE COUNTRY'S LARGE FISCAL DEFICIT.

THE MOVE IS AT ODDS WITH REGION-WIDE EFFORTS TO END THE ERA OF GENEROUS SUBSIDIES, WHICH HAD BEEN PREDICATED ON HIGH OIL PRICES, AND PREPARE FOR A POST-OIL FUTURE.

SHOULD THE MEASURE PASS - THE GOVERNMENT HAS VOWED TO FIGHT THE MOVE - IT WOULD BECOME DIFFICULT FOR THE GOVERNMENT TO DELIVER ON THE USD 6 BILLION REDUCTION IN THE COUNTRY'S FISCAL DEFICIT FORESEEN IN ITS RECENTLY PASSED BUDGET FOR FY2017/18.

AS PART OF THE GOVERNMENT'S EFFORTS TO BRING ITS PUBLIC FINANCES UNDER CONTROL, THE CABINET INSTRUCTED THE MINISTRY OF FINANCE TO IMPLEMENT AN EXPENDITURE CEILING.

MARKET OUTLOOK 2017



UAE

THE UAE'S ECONOMY HAS SHOWN RENEWED VIGOR AT THE START OF 2017, WITH THE COUNTRY'S PMI RISING IN FEBRUARY TO A 17-MONTH HIGH ON THE BACK OF STRONGER DOMESTIC AND EXTERNAL DEMAND.

THIS FOLLOWS AN UPTICK IN ECONOMIC ACTIVITY IN THE FINAL QUARTER OF LAST YEAR THANKS LARGELY TO A BOOST IN OIL PRODUCTION.

HOWEVER, GROWTH FOR 2016 AS A WHOLE IS LIKELY TO HAVE BEEN FAIRLY LACKLUSTER AS A RESULT OF LOW OIL PRICES, SIGNIFICANT FISCAL CONSOLIDATION IN Q1 AND THE STRONG DIRHAM, WHICH HURT THE COUNTRY'S TOURISM SECTOR.

IN FEBRUARY OF THIS YEAR IT WAS REVEALED THAT THE UAE IS THUS FAR FAILING TO COMPLY WITH OPEC-AGREED OIL PRODUCTION CUTS OF 139,000 BPD. HOWEVER, THE GOVERNMENT HAS PLEDGED TO IMPROVE COMPLIANCE OVER THE SIX-MONTH DURATION OF THE SUPPLY CUT.



OMAN

A LOW-OIL-PRICE ENVIRONMENT AND HARSH AUSTERITY UNDERTAKEN IN ORDER TO REIN IN A RAM-PANT FISCAL DEFICIT HAVE LED THE ECONOMY TO LOG ITS WORSE ECONOMIC PERFORMANCE SINCE 2011 WHEN IT WAS PLAGUED BY HEIGHTENED POLITICAL UNREST.

WHILE THE NOVEMBER OPEC ACCORD ON CUTTING CRUDE PRODUCTION IS BOOSTING OIL PRICES, THE COUNTRY WILL NOT COMPLETELY BENEFIT AS IT WILL REDUCE ITS TOTAL PRODUCTION BY AROUND 4.5% IN COMPLIANCE WITH THE DEAL.

IN AN ATTEMPT TO REDUCE THE IMPACT OF LAST YEAR'S HIKE IN FUEL PRICES, THE GOVERNMENT IS CONSIDERING REINSTATING A FUEL SUBSIDY FOR LOW INCOME CITIZENS.

THIS MOVE COULD DERAIL THE GOVERNMENT'S PLAN TO LOWER THE BUDGET DEFICIT FOR THIS YEAR TO AROUND 10% OF GDP



JORDAN

THE JORDANIAN ECONOMY IS EXPECTED TO HAVE LOST STEAM LAST YEAR, DRAGGED DOWN BY THE IMPACT OF THE SYRIAN CIVIL WAR AND WEAKNESSES IN COUNTRIES ACROSS THE GULF REGION. THIS IS EVIDENCED BY A DOUBLE-DIGIT FALL IN EXPORTS TO ARAB STATES IN 2016, WHICH CAUSED TOTAL EXPORTS TO DECREASE BY 8.9%, AS WELL AS BY A DECLINE IN INDUSTRIAL PRODUCTION.

A JUMP IN VISITOR ARRIVALS LAST YEAR HELPED STABILIZE REVENUE IN THE TOURISM SECTOR FOLLOWING A STEEP DECLINE IN REVENUES IN 2015.

MARKET OUTLOOK 2017



QATAR

QATAR'S ECONOMY SLOWED TO AN OVER-A-DECADE LOW IN 2016 AS LOW OIL PRICES AND SUBDUED ACTIVITY IN THE NON-OIL SECTOR PLAGUED GROWTH.

AS A RESULT OF THE SHARP DROP IN OIL PRICES, THE GOVERNMENT IMPLEMENTED SOME AUSTERITY MEASURES LAST YEAR TO CONTAIN A RAPID DETERIORATION IN PUBLIC FINANCES, HITTING OVERALL GROWTH AND LEADING THE COUNTRY TO RECORD ITS FIRST FISCAL DEFICIT IN 15 YEARS IN 2016.

WITH HIGHER OIL PRICES AND A MORE BENIGN GLOBAL GROWTH OUTLOOK, QATAR IS EXPECTED TO ACCELERATE SOME INFRASTRUCTURE PROJECTS THIS YEAR, IN PARTICULAR THOSE RELATED TO THE 2022 WORLD CUP.

MOREOVER, THE PROJECTED DROP IN THE BUDGETARY SHORTFALL FOR THIS YEAR HAS PROMPTED FINANCE MINISTER ALI SHARIF AL-EMADI TO STATE THAT QATAR MAY REFRAIN FROM TAPPING INTERNATIONAL BOND MARKETS, FOLLOWING LAST MAY'S USD 9.0 BILLION SALE.



LEBANON

THE EXPECTED APPROVAL OF THE BUDGET WILL MARK ANOTHER STEP TOWARDS THE STABILIZATION OF LEBANON'S BATTERED ECONOMY.

AFTER WEEKS OF DISPUTES, THE LEBANESE CABINET IS SET TO PRESENT THE FINAL DRAFT OF THE BUDGET TO PARLIAMENT, WITH THE COUNTRY MANAGING TO AGREE ON A FISCAL PLAN FOR THE FIRST TIME IN TWELVE YEARS.

A LARGE SALARY HIKE FOR PUBLIC SECTOR EMPLOYEES HAS BEEN AT THE CORE OF THE DISPUTES, ALONG WITH PLANNED TAX INCREASES TO OFFSET THE ADDITIONAL EXPENDITURE.

WHILE THE PLAN'S APPROVAL WOULD BE A SUCCESS FOR THE NEW GOVERNMENT, BUSINESS REPRESENTATIVES HAVE BEEN CRITICIZING IT HARSHLY, STATING IT COULD JEOPARDIZE THE TIMID ECONOMIC RECOVERY SEEN IN THE PAST MONTHS.

THE BUDGET COULD ALSO CLEAR THE WAY FOR THE CABINET TO PASS THE ELECTORAL LAW, WHICH IN TURN SHOULD ALLOW FOR ELECTIONS IN MAY.



EGYPT

THE LATEST ECONOMIC INDICATORS SHOW THAT EGYPT'S ECONOMY MAY SLOWLY BE TURNING A CORNER IN THE FIRST FEW MONTHS OF 2017.

THE PMI IMPROVED IN FEBRUARY FOR THE THIRD CONSECUTIVE MONTH, THANKS TO MORE GRADUAL CONTRACTIONS IN OUTPUT AND NEW ORDERS, ALTHOUGH OPERATING CONDITIONS REMAIN DIFFICULT. INVESTORS ARE VENTURING BACK TO THE COUNTRY AND DOLLARS HAVE COME FLOODING BACK INTO THE FINANCIAL SYSTEM, WITH THE CENTRAL BANK'S RESERVES AT THE END OF FEBRUARY STANDING AT THEIR HIGHEST LEVEL SINCE JUNE 2011.

THE GOOD NEWS COMES AFTER THE GOVERNMENT SUBJECTED THE ECONOMY TO SHOCK THERAPY AT THE END OF 2016 IN ORDER TO SECURE IMF FUNDING, WHICH INVOLVED FLOATING THE POUND, CUTTING FUEL SUBSIDIES AND HIKING TARIFFS, CAUSING INFLATION TO SKYROCKET.

FOLLOWING THE SUCCESSFUL ENACTION OF PAINFUL STRUCTURAL REFORMS, EGYPT IS LIKELY TO RECEIVE THE SECOND TRANCHE OF IMF FUNDING THIS SPRING.

MANAGERIAL REQUIREMENT FROM AGM / AUTHORITIES



OPEN
DISCUSSION



AGM AUTHORITIES

AUTHORITY TYPE OF AUTHORITIES

BANK TRANSFERS / PAYMENTS	
A2	INTERNAL TRANSFERS (BETWEEN COMPANY ACCOUNTS) REGIONAL OFFICES
A2	INTERNAL TRANSFERS (BETWEEN COMPANY ACCOUNTS) BUSINESS UNIT
A2	LOCAL & INTERNATIONAL TRANSFER TO BENEFICIARIES
A2	SALARY TRANSFERS
PERSONNEL RELATED	
APPROVAL OF ANNUAL LEAVE	
A1	BRANCH MANAGERS
A1	ALL MANAGERS AND SUPERVISORS
D	STAFFS
D	LABORS
APPROVAL OF EMPLOYEE OFFERS & CONTRACTS	
A2	STAFFS
A2	LABORS
INCENTIVES AND BONUSES	
A3	BUDGETED
A3	NON-BUDGETED
A3	INCREMENTS AND PROMOTIONS
APPROVAL OF RESIGNATION / TERMINATION	
A2	MANAGERS/SUPERVISORS
A1	STAFFS
A1	LABORS
A2	MARKETING & PROMOTIONAL EXPENSES
A2	LOANS (PERSONAL & CAR LOAN)

AUTHORITY TYPE OF AUTHORITIES

POLICIES RELATED	
A1	SELECTION OF SUPPLIERS FOR PURCHASING OF INVENTORY - LOCAL
A1	SELECTION OF SUPPLIERS FOR PURCHASING OF FIXED ASSETS
A2	AUTHORIZATION OF PAYMENT TO LOCAL SUPPLIERS
A2	PURCHASING OF FIXED ASSETS & APPROVING ITS RELATED INVOICES
B	APPROVAL OF POLICIES RELATED TO DISPOSING OR WRITE - OFF
FINANCE AND ACCOUNTING RELATED	
APPROVAL OF AGREEMENTS & CONTRACTS	
A1	SALES CONTRACTS & AGREEMENTS (UP TO SR 100,000)
A1	SALES CONTRACTS & AGREEMENTS (SR 100,001 => SR 1,000,000)
A1	SALES CONTRACTS & AGREEMENTS (SR 10,000,001 +)
A1	NON-SALES CONTRACTS & AGREEMENTS
A2	APPROVAL OF OPERATING AND CAPITAL BUDGET
A2	APPROVAL OF ANNUAL BUDGET
D	APPROVAL FOR APPOINTMENT AND REMUNERATION OF AUDITORS
A2	PROVISION FOR A/R, RETENSION, DAMAGED, SLOWMOVING AND EXPIRED MATERIALS
ACCOUNTING RELATED	
APPROVAL OF GENERAL EXPENSES (OTHER THAN PETTY CASH)	
D	WITHIN BUDGETARY LIMITS
C	APPROVAL OF GENERAL EXPENSES (OTHER THAN PETTY CASH)
C	OUTSIDE BUDGETARY LIMITS
APPROVAL OF PETTY CASH	
A2	FOR BRANCH FLOAT PER SETTLEMENT
A2	OTHERS THAN FLOAT
C	APPROVAL OF CAPITAL EXPENDITURE OUTSIDE BUDGETARY LIMITS

A1: FINAL APPROVAL

A2: 3RD LEVEL APPROVAL

A3: 2ND LEVEL APPROVAL

A4: 1ST LEVEL APPROVAL

A5: INITIATION

B: MAKES RECOMMENDATION

C: MUST BE ADVISED

D: MAY BE CONSULTED

E: MUST BE CONSULTED



EFFECTIVE MANAGEMENT



EFFECTIVE MANAGEMENT



BE CONSISTENT

THIS IS THE FIRST RULE BECAUSE IT APPLIES TO MOST OF THE OTHERS. BEFORE YOUR MANAGEMENT APPROACH CAN BE EFFECTIVE, IT MUST BE CONSISTENT. YOU MUST REWARD THE SAME BEHAVIORS EVERY TIME THEY APPEAR, DISCOURAGE THE SAME BEHAVIORS WHEN THEY APPEAR AND TREAT EVERY MEMBER OF YOUR TEAM WITH AN EQUAL, LEVEL-HEADED VIEW.



DELEGATE WISELY

THE KEY TO LEADERSHIP SUCCESS IS TO LEARN TO EFFECTIVELY DELEGATE BOTH THE RESPONSIBILITY FOR COMPLETING ASSIGNMENTS AND THE AUTHORITY REQUIRED TO GET THINGS DONE. MANY BOSSES FEEL THAT THEY NEED TO CONTROL EVERY LITTLE THING THAT THEIR EMPLOYEES DO. THIS IS A RECIPE FOR DISASTER. WHEN YOU DELEGATE WORK TO EMPLOYEES, YOU MULTIPLY THE AMOUNT OF WORK YOU CAN ACCOMPLISH WHILE YOU DEVELOP YOUR EMPLOYEES' CONFIDENCE, LEADERSHIP AND WORK SKILLS.



FOCUS ON CLARITY, ACCURACY AND THOROUGHNESS IN COMMUNICATION

HOW YOU COMMUNICATE TO YOUR TEAM CAN DICTATE YOUR EVENTUAL SUCCESS. WHEN RELAYING INSTRUCTIONS, RECAPPING MEETINGS OR JUST DOLING OUT COMPANY UPDATES, STRIVE FOR THE CLARITY, ACCURACY AND THOROUGHNESS OF YOUR COMMUNICATION. THIS GOES FOR ANY OTHER MEDIUM, WHETHER THAT MEANS IN-PERSON COMMUNICATION, EMAIL OR A PHONE CALL. CLARITY, ACCURACY AND THOROUGHNESS ARE THE BEST WAY TO AVOID MISCOMMUNICATION AND KEEP YOUR TEAM ON THE SAME PAGE.



SET THE GOAL OF WORKING AS A TEAM

IF YOU WANT YOUR TEAM MEMBERS TO WORK TOGETHER, HAVE THEM WORK FOR SOMETHING TOGETHER. SETTING GOALS JUST FOR THE DEPARTMENT OR ONE INDIVIDUAL BREEDS A LIMITED MENTALITY AND FORCES TEAM MEMBERS TO REMAIN ISOLATED. INSTEAD, GIVE STAFFERS A UNIFIED FOCUS AND PURPOSE, TO INSPIRE THEM TOGETHER.



PUBLICLY REWARD AND RECOGNIZE HARD WORK

WHEN A MEMBER OF YOUR TEAM DOES SOMETHING EXCEPTIONAL, REWARD HIM/HER WITH A BONUS, A SMALL TROPHY OR EVEN JUST A VOCAL RECOGNITION. DO THIS IN FRONT OF THE GROUP; IT WILL MAKE THE INTENDED RECIPIENT FEEL GOOD AND SHOW THE REST OF THE TEAM THAT HARD WORK IS REWARDED. THE ONLY CAVEAT GOES BACK TO RULE ONE: BE CONSISTENT IN YOUR REWARDS SO YOU WON'T BE SEEN AS PLAYING FAVORITES.



BE THE EXAMPLE

AS THE MANAGER AND LEADER, YOU SHOULD SET AN EXAMPLE IN TERMS OF YOUR BEHAVIOR. IF YOU SHOW UP LATE, YOUR TEAM WILL BE LESS PUNCTUAL. IF YOU LOSE YOUR TEMPER EASILY, OTHERS WILL BE AMISS IN KEEPING THEIR EMOTIONS IN CHECK. STRIVE TO BE YOUR OWN IDEAL OF THE PERFECT WORKER, ESPECIALLY IN FRONT OF THE TEAM.



NEVER GO WITH 'ONE-SIZE-FITS-ALL'

YOUR TEAM IS COMPRISED OF INDIVIDUALS WITH UNIQUE PREFERENCES, STRENGTHS, WEAKNESSES AND IDEAS. NEVER USE THE EXACT SAME APPROACH TO MOTIVATE, ENCOURAGE OR MOLD ALL OF THEM. FOCUS ON INDIVIDUALS, AND CUSTOMIZE YOUR APPROACH TO FIT EACH ONE.

EFFECTIVE MANAGEMENT



REMAIN AS TRANSPARENT AS POSSIBLE

TRANSPARENCY SHOWS YOUR INTEGRITY AS A LEADER, AND BUILDS TRUST WITH THE INDIVIDUAL MEMBERS OF YOUR TEAM. IF YOU LIE ABOUT SOMETHING, OR WITHHOLD INFORMATION, YOU COULD JEOPARDIZE YOUR RELATIONSHIPS AND THE RESPECT YOU COMMAND AS A LEADER.



ENCOURAGE ALL OPINIONS AND IDEAS

THE MORE PEOPLE YOU HAVE ACTIVELY PARTICIPATING IN DISCUSSIONS AND ATTEMPTING TO MAKE IMPROVEMENTS TO THE ORGANIZATION, THE BETTER. NEVER CHASTISE A TEAM MEMBER FOR VOICING AN OPINION RESPECTFULLY EVEN IF IT GOES AGAINST YOUR ORIGINAL VISION OR ISN'T WELL THOUGHT OUT. CUTTING SOMEONE DOWN FOR VOICING AN OPINION BUILDS RESENTMENT, AND DISCOURAGES PEOPLE FROM SHARING THEIR OWN NEW THOUGHTS.



HELP PEOPLE ENJOY WORK

YOU DON'T NEED A POOL TABLE OR DRESS CODE ABOLITION TO MAKE WORK FUN. YOU CAN MAKE THE WORKDAY MORE ENJOYABLE WITH SUCH NEW ELEMENTS AS SURPRISE LUNCH OUTINGS, A DEDICATED BREAK ROOM OR EVEN JUST CASUAL CONVERSATIONS WITH YOUR WORKERS. HELP YOUR PEOPLE ENJOY COMING TO WORK, AND THEY'LL DO THEIR BEST WORK FOR YOU.

SUCCESSION PLAN & TRAINING SUCCESSION

SUCCESSION PLAN & TRAINING SUCCESSION



SUCCESSION PLANNING

SUCCESSION PLANNING IS THE PROCESS WHEREBY AN ORGANIZATION ENSURES THAT EMPLOYEES ARE RECRUITED AND DEVELOPED TO FILL EACH KEY ROLE WITHIN THE COMPANY. THROUGH THIS PROCESS, COMPANIES RECRUIT SUPERIOR EMPLOYEES, DEVELOP THEIR KNOWLEDGE, SKILLS, AND ABILITIES, AND PREPARE THEM FOR ADVANCEMENT OR PROMOTION INTO EVER MORE CHALLENGING ROLES WITHIN THE ORGANIZATION.



TRAINING / DEVELOPING SUCCESSION

THE PREPARATION FOR THE EMPLOYEE'S NEXT ROLE INCLUDES TRANSFERS TO DIFFERENT JOBS OR DEPARTMENTS AND ON-THE-JOB SHADOWING SO THE EMPLOYEE HAS A CHANCE TO OBSERVE VARIOUS JOBS IN ACTION. ACTIVELY PURSUING SUCCESSION PLANNING ENSURES THAT EMPLOYEES ARE CONSTANTLY DEVELOPED TO FILL EACH NEEDED ROLE IN THE ORGANIZATION.

AS THE ORGANIZATION EXPANDS, LOSES KEY EMPLOYEES OR PROVIDES PROMOTIONAL JOB OPPORTUNITIES, THE SUCCESSION PLANNING GUARANTEES THAT THE COMPANY HAVE EMPLOYEES ON HAND READY AND WAITING TO FILL THE NEW ROLES. ONE EFFECTIVE WAY OF TRAINING EMPLOYEES IS CROSS-TRAINING, THIS ENSURES THAT EMPLOYEES ARE PREPARED TO BABYSIT THE KEY JOB WHEN AN EMPLOYEE RESIGNS. THIS KEEPS RESPONSIBILITIES FROM FALLING THROUGH THE CRACKS. THIS WILL KEEP THE MISSION ON TRACK.

ADVANTAGES FOR EMPLOYERS AND EMPLOYEES

EMPLOYEES

UPCOMING ROLES WILL BOOST THE EMPLOYEES SELF-ESTEEM AND SELF RESPECT. THIS ENHANCES THEIR EFFICACY AND VALUE AS AN EMPLOYEE.

REINFORCES THE EMPLOYEES DESIRE FOR CAREER DEVELOPMENT AND OPPORTUNITIES. THIS IS THE DEVELOPMENT THAT EMPLOYEES WANT MOST FROM THEIR EMPLOYER.

DEVELOPMENT OPPORTUNITIES PROVIDED TO HELP EMPLOYEE, PREPARE FOR PROGRESSION WHEN THE NEXT JOB OPPORTUNITY TURNS UP.

THE VALUE OF AN EMPLOYEE IS SHARED WITH THE REST OF THE ORGANIZATION SO THAT IF AN OPPORTUNITY TURNS UP, THE MANAGER CAN CONSIDER THE EMPLOYEE TO FILL THE ROLE.

EMPLOYERS

EMPLOYERS CAN RELY ON THE STAFF TO CARRY ON THE MISSION & VISION AND TO ACCOMPLISH THE GOALS OF THE ORGANIZATION.

EMPLOYERS HAVING PREPARED EMPLOYEES TO STEP INTO ROLES AS THE COMPANY GROWS AND EXPANDS ITS OFFERINGS AND SERVICES.

AS THE INFORMATION OF KEY, SKILLED AND TALENTED EMPLOYEES IS SHARED COMPANY WIDE, THE MANAGERS HAVE A WIDER POOL OF CANDIDATES TO SELECT FROM.

CAPTURING THE KNOWLEDGE FROM THE OLDER GENERATION, WHO HAVE 30 TO 40+ YEARS OF EXPERIENCE, WORKING RELATIONSHIPS AND INFORMATION BEFORE THEY RETIRE.

NOTE: EFFECTIVE, PROACTIVE SUCCESSION PLANNING LEAVES YOUR ORGANIZATION WELL PREPARED FOR ALL CONTINGENCIES. SUCCESSFUL SUCCESSION PLANNING BUILDS BENCH STRENGTH.

BRIDGING THE COMMUNICATION GAP BETWEEN UNITECH A & B



OPEN
DISCUSSION



REORGANIZING RECOMMENDATION OF BRANCH / AREA



OPEN
DISCUSSION





REORGANIZING TRADERS DIVISION



REORGANIZING TRADERS DIVISION



THE VISION

TO HAVE A FOCUSED TRADERS DIVISION THAT IS ABLE TO TAP INTO THE TRADERS SECTOR OF THE MARKET EFFECTIVELY INCREASING MARKET SHARE.



GOALS OF HAVING A TRADING DIVISION

- A. TO INCREASE MARKET SHARE
- B. TO IMPROVE THE PRODUCT CATEGORIES (IN TERMS OF REVENUE)
- C. IT IS AN ADDED ADVANTAGE IN ACHIEVING THE SET TARGETS WITH SUPPLIERS FOR THEIR PRODUCTS / CATEGORIES
- D. TO HAVE MORE CASH CUSTOMERS (CASH FLOW), IMPROVING THE CASH CONVERSION CYCLE



STRATEGY

- . KEEPING THE VISION IN MIND, WE MERGED UPF DIVISION WITH UNIPRO
- . UNIPRO WAS ALREADY DIVIDED INTO UNIPRO CONTRACTORS AND UNIPRO TRADERS
- . ALL THE UPF PRODUCTS WERE TRANSFERRED INTO UNIPRO & AND THE SALES EXECUTIVES WERE MOVED INTO UNIPRO TRADERS.
- . MOST OF THE PRODUCTS UNDER THESE DIVISIONS (UPF AND UNIPRO) WERE CATERING THE TRADER SECTOR OF THE MARKET
- . WITH THE PRODUCTS OF BOTH THE DIVISION, THE SALES EXECUTIVE HAVE A BIGGER RANGE TO OFFER THE CUSTOMERS
- . WE SELECTED TWO TRADING MANAGERS, TO DEVELOP THE TRADERS DIVISION IN UNITECH A & B RESPECTIVELY
- . THESE MANAGERS WERE CHOSEN FOR THEIR EXPERIENCE IN THE TRADER SECTOR AND KNOWLEDE OF TRADERS NEEDS
- . ALL SALES EXEUTIVES UNDER THE TRADING DIVISION WERE GIVEN THE TARGET OF ACHIVEING MINIMUM OF 3 MILLION SAR IN SALES
- . TO KEEP THE TRADERS MOTIVATED WE HAVE DESIGNED THE FOLLOWING COMMISSION PROGRAMS:

COMMISSION ON EFFECTIVE COLLECTIONS (MONTHLY BASIS)

COMMISSION ON GROSS (YEALY BASIS)

PROMOTION ON SALES OF INDIVIDUAL CATEGORIES

PROMOTION ON SUCCESSFULLY DEVELOPING A CATEGORY

ADDING NEW PRODUCTS TO UNITECH'S PRODUCT BASKET



ADDING NEW PRODUCTS TO THE UNITECH'S PRODUCT BASKET



BENEFIT OF ADDING NEW PRODUCT OR EXPANDING A PRODUCT LINE

ADDING A NEW PRODUCT OR EXPANDING A PRODUCT LINE IS AN IMPORTANT GROWTH STRATEGY FOR UNITECH TO INCREASE REVENUE OR MARKET SHARE. PRODUCT-LINE EXPANSION CAN TAKE A NUMBER OF FORMS, INCLUDING NEW VERSIONS OF AN EXISTING PRODUCT, UPGRADES TO EXISTING PRODUCTS OR COMPLETELY NEW PRODUCTS.

MARKET OPPORTUNITIES

PRODUCT-LINE EXPANSION ENABLES US TO TAKE ADVANTAGE OF OPPORTUNITIES IN DIFFERENT MARKET SECTORS.

CUSTOMER NEEDS

INTRODUCING PRODUCTS THAT MEET CHANGING CUSTOMER NEEDS IS AN IMPORTANT DRIVER OF PRODUCT-LINE EXPANSION. ENCOURAGING FEEDBACK THROUGH SURVEYS OR MONITORING CUSTOMER COMMENTS PROVIDES VALUABLE INSIGHT INTO CUSTOMERS' NEEDS AND PREFERENCES. A HIGH LEVEL OF FAVORABLE COMMENTS ON A PARTICULAR PRODUCT FEATURE THAT COMPETITORS OFFER IS A GOOD INDICATOR OF AN OPPORTUNITY FOR LINE EXPANSION.

CUSTOMER LOYALTY

EXPANDING A PRODUCT LINE CAN HELP TO INCREASE CUSTOMER LOYALTY. ADDING NEW PRODUCTS OR VARIANTS OF EXISTING PRODUCTS WILL ENABLE US TO SELL MORE TO EXISTING CUSTOMERS, WITHOUT THE EFFORT AND COST OF ACQUIRING NEW CUSTOMERS.

LIFE CYCLE

PRODUCTS TYPICALLY MOVE THROUGH FOUR STAGES: INTRODUCTION, GROWTH, MATURITY AND DECLINE. PRODUCTS ARE IN THE DECLINE STAGE WHEN THEY NO LONGER MEET CUSTOMER NEEDS OR WHEN THEIR PERFORMANCE BECOMES INFERIOR TO PRODUCTS THAT HAVE TAKEN ADVANTAGE OF NEWER MATERIALS OR TECHNOLOGIES. TO AVOID LOSING BUSINESS TO COMPETITORS WITH HIGHER PERFORMANCE PRODUCTS, WE MUST UPGRADE OUR EXISTING PRODUCTS OR DEVELOP NEW PRODUCTS THAT CAN COMPETE EFFECTIVELY.

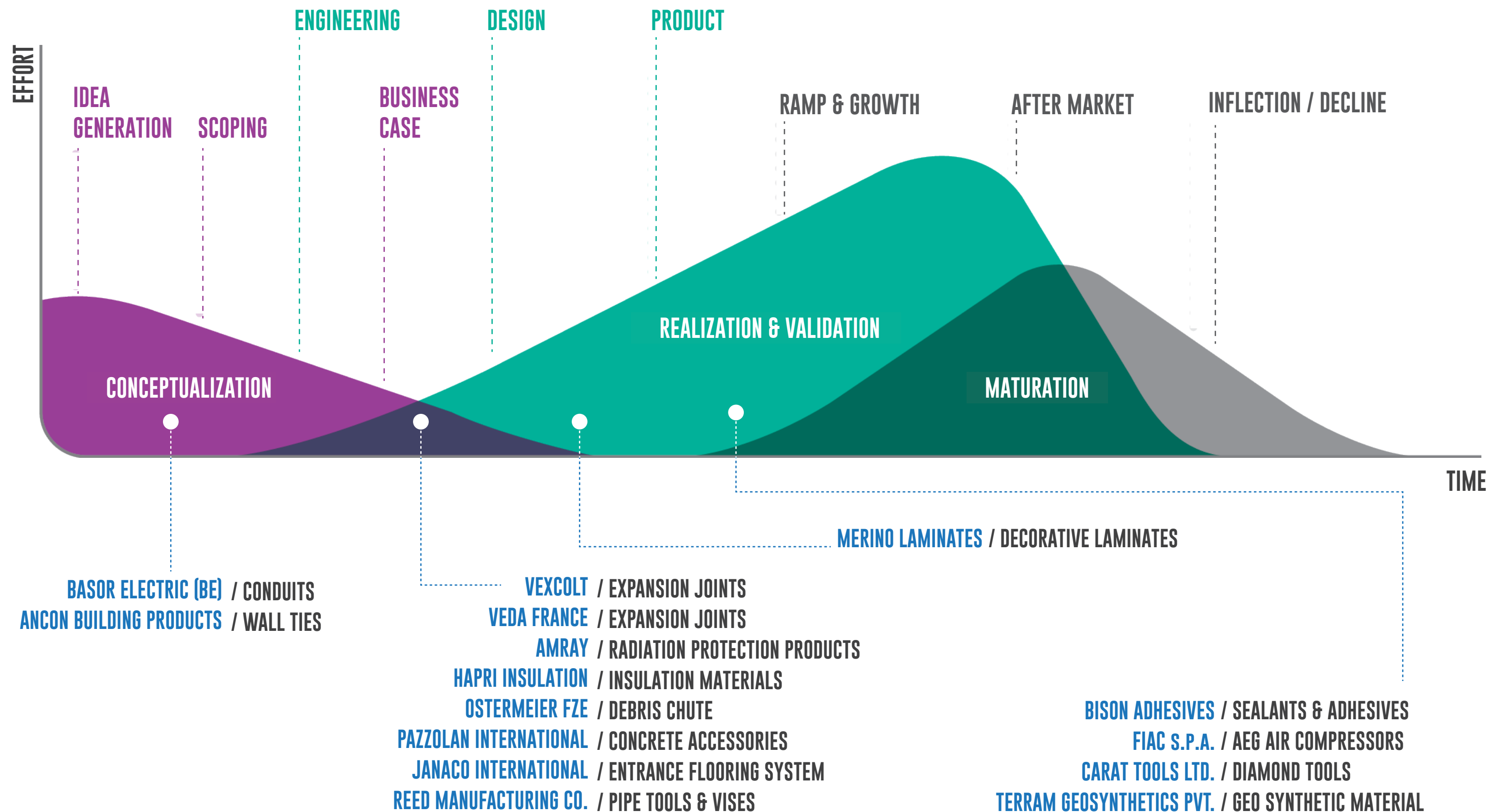


FOUR STEPS TO EXPANSION

WE CAN ADD A NEW PRODUCT TO EXPAND OUR BUSINESS OR MERELY TO REPLACE AN OLDER PRODUCT OR GROUP THAT'S IN DECLINE. WE HAVE TO BE SURE THAT WE TAKE THESE FOUR STEPS BEFORE MOVING FORWARD:

- A. DETERMINE THE SPECIFIC NEEDS OF OUR CUSTOMERS IN EACH HIGH-PRIORITY MARKET SEGMENT.
- B. IDENTIFY THE PRODUCT/SERVICE BUNDLES (GROUPS OF FEATURES) THAT WOULD BE MOST ATTRACTIVE TO THEM.
- C. CREATE A UNIQUE VALUE PROPOSITION FOR THE PROPOSED LINE EXTENSIONS AND DECIDE HOW WE WILL POSITION THE PRODUCT IN THE MARKET SEGMENTS WE'VE IDENTIFIED.
- D. DETERMINE THE SALES AND DISTRIBUTION CHANNELS THAT WILL ACHIEVE THE HIGHEST PENETRATION OF OUR TARGET MARKET SEGMENTS.

PRODUCT LIFE CYCLE (NEW PRODUCT)



DIVERSIFICATION NEEDS IN ALL AREAS & DEVELOPING PRODUCT PORTFOLIO PROCESS



DIVERSIFICATION NEEDS IN ALL AREAS & DEVELOPING PRODUCT PORTFOLIO



WHAT DOES DIVERSIFICATION MEANS ?

DIVERSIFICATION IS A CORPORATE STRATEGY TO ENTER INTO A NEW MARKET OR INDUSTRY WHICH THE BUSINESS IS NOT CURRENTLY IN, WHILST ALSO CREATING A NEW PRODUCT FOR THAT NEW MARKET.



DIVERSIFICATION STRATEGIES

THE STRATEGIES OF DIVERSIFICATION CAN INCLUDE INTERNAL DEVELOPMENT OF NEW PRODUCTS OR MARKETS, ACQUISITION OF A FIRM, ALLIANCE WITH A COMPLEMENTARY COMPANY, LICENSING OF NEW TECHNOLOGIES, AND DISTRIBUTING OR IMPORTING A PRODUCTS LINE MANUFACTURED BY ANOTHER FIRM.

GENERALLY, THE FINAL STRATEGY INVOLVES A COMBINATION OF THESE OPTIONS. THIS COMBINATION IS DETERMINED IN FUNCTION OF AVAILABLE OPPORTUNITIES AND CONSISTENCY WITH THE OBJECTIVES AND THE RESOURCES OF THE COMPANY.



TYPES OF DIVERSIFICATION

CONCENTRIC DIVERSIFICATION

THIS MEANS THAT THERE IS A TECHNOLOGICAL SIMILARITY BETWEEN THE INDUSTRIES, WHICH MEANS THAT THE FIRM IS ABLE TO LEVERAGE ITS TECHNICAL KNOW-HOW TO GAIN SOME ADVANTAGE. FOR EXAMPLE, A COMPANY THAT MANUFACTURES INDUSTRIAL ADHESIVES MIGHT DECIDE TO DIVERSIFY INTO ADHESIVES TO BE SOLD VIA RETAILERS. THE TECHNOLOGY WOULD BE THE SAME BUT THE MARKETING EFFORT WOULD NEED TO CHANGE.

HORIZONTAL DIVERSIFICATION

THE COMPANY ADDS NEW PRODUCTS OR SERVICES THAT ARE OFTEN TECHNOLOGICALLY OR COMMERCIALY UNRELATED TO CURRENT PRODUCTS BUT THAT MAY APPEAL TO CURRENT CUSTOMERS. THIS STRATEGY TENDS TO INCREASE THE FIRM'S DEPENDENCE ON CERTAIN MARKET SEGMENTS. FOR EXAMPLE, A COMPANY THAT WAS MAKING NOTEBOOKS EARLIER MAY ALSO ENTER THE PEN MARKET WITH ITS NEW PRODUCT.



WHEN IS HORIZONTAL DIVERSIFICATION DESIRABLE?

HORIZONTAL DIVERSIFICATION IS DESIRABLE IF THE PRESENT CUSTOMERS ARE LOYAL TO THE CURRENT PRODUCTS AND IF THE NEW PRODUCTS HAVE A GOOD QUALITY AND ARE WELL PROMOTED AND PRICED. MOREOVER, THE NEW PRODUCTS ARE MARKETED TO THE SAME ECONOMIC ENVIRONMENT AS THE EXISTING PRODUCTS, WHICH MAY LEAD TO RIGIDITY OR INSTABILITY.

DIVERSIFICATION NEEDS IN ALL AREAS & DEVELOPING PRODUCT PORTFOLIO



GOALS OF DIVERSIFICATION

THERE ARE TWO DIMENSIONS OF RATIONALE FOR DIVERSIFICATION.

THE FIRST ONE RELATES TO THE NATURE OF THE STRATEGIC OBJECTIVE: DIVERSIFICATION MAY BE DEFENSIVE OR OFFENSIVE.

DEFENSIVE REASONS MAY BE SPREADING THE RISK OF MARKET CONTRACTION, OR BEING FORCED TO DIVERSIFY WHEN CURRENT PRODUCT OR CURRENT MARKET ORIENTATION SEEMS TO PROVIDE NO FURTHER OPPORTUNITIES FOR GROWTH. OFFENSIVE REASONS MAY BE CONQUERING NEW POSITIONS, TAKING OPPORTUNITIES THAT PROMISE GREATER PROFITABILITY THAN EXPANSION OPPORTUNITIES, OR USING RETAINED CASH THAT EXCEEDS TOTAL EXPANSION NEEDS.

THE SECOND DIMENSION INVOLVES THE EXPECTED OUTCOMES OF DIVERSIFICATION:

MANAGEMENT MAY EXPECT GREAT ECONOMIC VALUE (GROWTH, PROFITABILITY) OR FIRST AND FOREMOST GREAT COHERENCE WITH THEIR CURRENT ACTIVITIES (EXPLOITATION OF KNOW-HOW, MORE EFFICIENT USE OF AVAILABLE RESOURCES AND CAPACITIES). IN ADDITION, COMPANIES MAY ALSO EXPLORE DIVERSIFICATION JUST TO GET A VALUABLE COMPARISON BETWEEN THIS STRATEGY AND EXPANSION.



FEW GOOD EXAMPLES OF SUCCESSFUL DIVERSIFICATION

A. APPLE MOVED FROM PCS TO MOBILE DEVICES

B. VIRGIN GROUP MOVED FROM MUSIC PRODUCTION TO TRAVEL AND MOBILE PHONES

C. WALT DISNEY MOVED FROM PRODUCING ANIMATED MOVIES TO THEME PARKS AND VACATION PROPERTIES

D. CANON DIVERSIFIED FROM A CAMERA-MAKING COMPANY INTO PRODUCING AN ENTIRELY NEW RANGE OF OFFICE EQUIPMENT.



PRODUCT PORTFOLIO & DIVERSIFICATION

A PRODUCT PORTFOLIO IS THE COLLECTION OF ALL THE PRODUCTS OR SERVICES OFFERED BY A COMPANY. PRODUCT PORTFOLIO ANALYSIS CAN PROVIDE NUANCED VIEWS ON STOCK TYPE, COMPANY GROWTH PROSPECTS, PROFIT MARGIN DRIVERS, INCOME CONTRIBUTIONS, MARKET LEADERSHIP AND OPERATIONAL RISK.

PRODUCT PORTFOLIO IS AN IMPORTANT ELEMENT OF FINANCIAL ANALYSIS, BECAUSE IT PROVIDES CONTEXT AND GRANULARITY. PORTFOLIO ANALYSIS HELPS US DISTINGUISH BETWEEN LONG-TERM VALUE STOCKS AND SHORT TERM GROWTH OPPORTUNITIES. PRODUCT PORTFOLIO HELPS IN DECISION MAKING WHEN IT COMES TO DIVERSIFICATION.

A/R AND INVENTORY PROVISION



A/R AND INVENTORY PROVISION POLICY

FOLLOWING IS THE IKK POLICY/FORMULA FOR PROVISION



ACCOUNT RECEIVABLE (A/R)

A/R AGING	CONTRACTING RECEIVABLES	CASH & TRADERS RECEIVABLES	SBG** RECEIVABLES
1 - 270 DAYS	0%	0%	0%
271 - 300 DAYS	0%	10%	0%
301 - 330 DAYS	0%	20%	0%
331 - 360 DAYS	0%	30%	0%
361 - 390 DAYS	0%	40%	0%
391 - 420 DAYS	10%	50%	0%
421 - 450 DAYS	15%	60%	0%
451 - 480 DAYS	20%	70%	0%
481 - 660 DAYS	50%	85%	10%
661 - 840 DAYS	75%	85%	10%
841 - 1260 DAYS	85%	100%	25%
OVER 1260 DAYS	100%	100%	40%

****SBG: IS A SPECIAL CASE FOR KSA.**



INVENTORY / STOCK

OVER 1 YEAR	OVER 2 YEARS	OVER 3 YEARS	OVER 4 YEARS
20%	40%	70%	100%

IMPORTANT POINTS:

PROPER UNDERSTATING OF PROVISION POLICY BY ALL THE CONCERNED IS OF PARAMOUNT IMPORTANCE. THE SUBJECT OF A/R AND INVENTORY PROVISION CAN'T BE NEGLECTED ANY-MORE, BECAUSE THE PROVISIONS ARE EATING UP PROFITS.

MORE EFFORTS ARE NEEDED IN THE DIRECTION OF COLLECTING THE OVERDUE AMOUNTS FROM THE MARKET AND GETTING RID OF OLD STOCK.

THE REPORTS OF PROVISION ARE ALREADY AVAILABLE ON ERP; THE CONCERNED ACCOUNTS DEPARTMENT SHALL UPDATE THE MANAGERS WITH THE SITUATION OF THE PROVISIONS EVERY MONTH.

THE PROVISION REPORTS CAN BE ANALYZED VERTICALLY AND HORIZONTALLY, TO UNDERSTAND THE AMOUNT OF LOSS (PROVISION) CAUSED BY COMPANY/DIVISION/SALESMAN/CUSTOMER ETC. THIS ACTIVITY SHALL BE A PART OF TEAM MEETINGS.

ALL CONCERNED HAVE TO BE RESPONSIBLE FOR THE AMOUNT OF PROVISIONS FOR THEIR RESPECTIVE AREA AND ACCOUNTABILITY IN ALL THE ASPECT IS REQUIRED ON REGULAR BASIS STARTING IMMEDIATELY.

IMPLEMENTATION OF ACTUAL PROVISION BY ERP ON THE INCOME STATEMENTS ON A MONTHLY BASIS.



UTILIZATION OF CIRD FACILITIES IN THE OPERATION



UTILIZATION OF CITD FACILITIES IN THE OPERATION



OPTIMUM UTILIZATION OF CITD FACILITIES

TECHNOLOGY EVOLVES JUST LIKE THE BUSINESS EVOLVES. AND AS TECHNOLOGY EVOLVES, SO TOO DOES THE BUSINESS. CITD HAS EVOLVED OVER TIME AND TODAY ITS A VITAL PART OF OUR ORGANIZATION.

TODAY WE HAVE THE FOLLOWING MANAGEMENT SYSTEMS:

- A. ENTERPRISE RESOURCE MANAGEMENT (ERP)
- B. EMAIL MANAGEMENT
- C. FAST INTERNET ACCESS
- D. HUMAN RESOURCES MANAGEMENT (HRM)
- E. CUSTOMER RELATIONSHIP MANAGEMENT (CRM)
- F. PROJECT PLANNING SOFTWARE
- ETC...

WE ALL CAN AGREE THAT WE SHOULD BE USING TECHNOLOGY TO MAXIMIZE OUR BUSINESS PRODUCTIVITY AND WE SHOULD UTILIZE THE ALREADY AVAILABLE BUSINESS INTELLIGENCE PLATFORM TO MAKE SMARTER DECISIONS.

TO UNDERSTAND THE NEEDS AND REQUIREMENTS IN OUR OPERATION WITH REGARDS TO THE TECHNOLOGY UTILIZATION, WE SHALL CONDUCT AN INTERNAL SURVEY OF UNITECH'S NEEDS AND REQUIREMENTS (AT ALL LEVELS OF USERS) AND THEN COMMUNICATE THE FOLLWOING OUTCOME TO CITD FOR THEIR FEEDBACK:

- A. TRAINING NEEDS
- B. NEW SOFTWARE IMPLEMENTATION
- C. NEW REPORT DEVELOPMENT
- ETC...

RETAINING TALENT & RIGHT SIZING



RETAINING TALENT & RIGHT SIZING



RETAINING TALENT (EMPLOYEE RETENTION STRATEGIES)

COMMUNICATE OPENLY

TREAT YOUR TALENT LIKE PART OF THE TEAM. THIS MEANS YOU NEED TO BE AS OPEN AS IS PRACTICAL TO YOUR STARTUP'S SITUATION. IF GENUINE, OPENNESS WILL OFTEN BE REWARDED WITH LOYALTY

STAY OPEN TO SUGGESTIONS

A "MY WAY OR THE HIGHWAY"-ATTITUDE DRIVES AWAY TALENTED EMPLOYEES. REMAIN OPEN TO SUGGESTIONS, ACKNOWLEDGE GOOD IDEAS AND RESPECT CONSTRUCTIVE FEEDBACK

BE FLEXIBLE WITHIN REASON

RIGID RULES AND PROCEDURES ALSO DRIVE AWAY TALENT. BEING FLEXIBLE MEANS THAT YOU ALLOW YOUR PEOPLE TO SOLVE PROBLEMS IN THE WAY THAT THEY WANT

RESPECT THE WORK/LIFE BALANCE

EMPLOYEES HAVE A LIFE OUTSIDE OF WORK. RESPECT THAT AND PERMIT THEM TO DEAL WITH PERSONAL ISSUES WHEN THEY ARISE

REWARD & RECOGNITION

REWARDING GOOD PERFORMANCE IS JUST AS IMPORTANT AS MANAGING, MOTIVATING AND MONITORING PERFORMANCE. MEANINGFUL REWARD AND RECOGNITION STRATEGIES CAN POSITIVELY INFLUENCE EMPLOYEE ATTITUDES AND BEHAVIOUR.

INVEST IN YOUR STAFF

DO SO, AND THEY WILL RECIPROCATATE. GOOD TRAINING AND DEVELOPMENT PROGRAMS REDUCE TURNOVER AND INCREASE MOTIVATION

TREATMENT

THE PERCEPTION OF FAIRNESS AND EQUITABLE TREATMENT IS IMPORTANT IN EMPLOYEE RETENTION

CULTIVATE A POSITIVE CORPORATE CULTURE

ENCOURAGE COLLABORATIVE AND SUPPORTIVE RELATIONSHIPS AMONG YOUR TEAM, AND BUILD A CULTURE THAT RECOGNIZES ACHIEVEMENT. THIS CAN BE A BETTER PREDICTOR OF JOB SATISFACTION THAN MONEY

NOTE: RIGHT-SIZING PROCESS HELPS IN EMPLOYEE RETENTION AND HOLDING ONTO THE BEST AND MOST PRODUCTIVE EMPLOYEES, AND THE EMPLOYEES WHO SHOW GREATEST POTENTIAL.

RETAINING TALENT & RIGHT SIZING



RIGHT SIZING DEFINITION

RIGHTSIZING OCCURS WHEN A COMPANY RESTRUCTURES ITS HUMAN RESOURCES TO ALIGN WITH COMPANY GOALS AND STRATEGIES.

RIGHTSIZING IS A CREATIVE, CONSTANTLY EXCITING PROCESS OF ADJUSTING ONE'S ORGANIZATION TO BE THE MOST EFFICIENT, EFFECTIVE, COMPETITIVE, AND PROFITABLE IT CAN POSSIBLY BE.



RIGHT SIZING

RIGHTSIZING IS PROACTIVE AND NEEDS TO BE A CONSTANT PART OF THE PROCESS OF MANAGING AN ORGANIZATION. TO DO RIGHTSIZING OF AN ORGANIZATION, WE SHALL FIRST LOOK AT MARKET NEEDS AND TRENDS, TECHNOLOGIES, ALTERNATIVE APPROACHES, AND NEW IDEAS. WE SHALL FOCUS OUR ATTENTION ON THE FUTURE AND WHERE THE ORGANIZATION SHOULD BE HEADED. NEWLY CLARIFIED OR REFINED STRATEGIC DIRECTION OFTEN GIVES US NEW INSIGHTS ABOUT WHAT SKILLS WILL BE NEEDED WITHIN THE ORGANIZATION TO HEAD IN THAT DIRECTION. KNOWING WHERE THINGS ARE PROBABLY HEADED HELPS US MAKE MORE EFFECTIVE HIRING DECISIONS AND PROVIDES DIRECTION FOR TRAINING/RETRAINING CURRENT EMPLOYEES WHO WANT TO LEARN NEW SKILLS TO PREPARE FOR THE FUTURE.

WE HAVE A BETTER CHANCE TO CREATE AN ORGANIZATIONAL STRUCTURE THAT IS CONDUCTIVE TO SUCCESS, IF:

- A. WE ARE ARMED WITH CLARIFIED STRATEGIC DIRECTION
- B. WE HAVE MANAGERS WITH A SENSE OF BEING CENTERED
- C. KNOWING WHAT OUR PRIORITIES ARE

IN RIGHTSIZING, ORGANIZATIONS ARE DESIGNED TO IMPLEMENT STRATEGIC DIRECTION. SOME DEPARTMENTS/DIVISIONS ARE ENLARGED WHILE OTHERS MAY BE ELIMINATED. SOMETIMES THE PRO-ACTIVE, STRATEGIC DESIGN ELEMENTS OF RIGHTSIZING INTRODUCES A NEW LAYER OF MANAGEMENT. TO SUSTAIN THE RIGHT SHAPE AND SIZE OF AN ORGANIZATION, PROACTIVE MANAGERS REALIZE THAT THEY ARE DEALING WITH A DYNAMIC PROCESS. WHAT IS RIGHT FOR THE ORGANIZATION TODAY WILL PROBABLY NOT BE RIGHT TOMORROW.

IT IS A TREMENDOUS CHALLENGE FOR LEADERS OF TODAY'S ORGANIZATIONS TO EVALUATE COMPLEX MARKET TRENDS, TECHNOLOGICAL OPTIONS, ECONOMIC CHANGES, WORK FORCE DEMOGRAPHICS, AND COMPETITIVE THREATS TO SELECT THEIR MAJOR STRATEGIES. IT IS AN EVEN GREATER CHALLENGE FOR THOSE STRATEGIES TO BE COMMUNICATED IN SUCH A WAY THAT EVERYBODY TRULY EMBRACE THEM, FEEL THAT THEY PLAY A PART IN DRIVING STRATEGIC CHANGE, AND ARE DESIGNING THEIR ORGANIZATIONS TO BE THE RIGHT SIZE AND SHAPE FOR OPTIMUM EFFECTIVENESS, EFFICIENCY, AND PROFITABILITY.

STAFF RETIREMENT/GOVERNMENT REGULATIONS IN KSA



OPEN
DISCUSSION



REQUIREMENTS IN SFSP DURING 2017 & UPCOMING REQUIREMENT IN 2018



SFSP REQUIREMENTS DURING 2017 AND UPCOMING REQUIREMENTS IN 2018



SFSP KSA

2017

DESCRIPTION	SAR.
NEW EQUIPMENTS	
MACHINES	-
ANGLE BEAD MACHINES	500,000
LINTEL MACHINES	1,000,000
ROLLFORM LINE FOR CABLE TRUNKING	1,000,000
MIG WELDING MACHINES (6 PCS)	70,000
WELDING MOBILE FILTER UNITS (20 PCS)	250,000
FLOOR CLEANING MACHINE (2 PCS)	400,000
DIES	300,000
OTHERS (EXHAUST FANS, OIL COOLER ETC..)	-
SUB - TOTAL	3,520,000
GOODS TRANSPORTERS	
VANS AND MINI VANS	450,000
STANDS FOR SHEET AND COILS	100,000
SHEET STORAGE SYSTEM	1,500,000
SUB - TOTAL	2,050,000
GRAND TOTAL	5,570,000

2018

DESCRIPTION	SAR.
NEW EQUIPMENTS	
MACHINES	-
CNC LATH MACHINE	500,000
C CHANNEL MACHINE (2 PCS)	800,000
COIL LATH LINE	1,000,000
BR MESH MACHINE	900,000
CNC TRUPUNCH 5000	2,500,000
DIES	200,000
OTHERS (EXHAUST FANS, OIL COOLER ETC..)	-
SUB - TOTAL	5,900,000
GOODS TRANSPORTERS	
TRUCKS & CANTERS (DYNA FOR EX.)	200,000
FORKLIFTS MOTORIZED	300,000
SUB - TOTAL	500,000
GRAND TOTAL	6,400,000

SFSP REQUIREMENTS DURING 2017 AND UPCOMING REQUIREMENTS IN 2018



SFSP DIC

COMMENTS:

SFSP UAE, HAVING PRESSURE IN DELIVERY OF, ANGLE BEAD ORDERS, BR MESH , CABLE TRAY ACCESSORIES PENDING ORDER IS NOT DROPPING DOWN AS BEEN OBSERVE FROM 2016, BR MESH ORDERS IS ACCUMULATING , AND C CHANNEL 41 X 41, SPECIFICALLY.

2017

DESCRIPTION	AED.
NEW EQUIPMENTS	
MACHINES	-
2 ANGLE BEAD MACHINES + CASSETTE	800,000
INTEL MACHINES	1,000,000
ROLLFORM CABLE TRAY	500,000
COMPRESSOR	180,000
FLANGE MACHINE	65,000
SUB - TOTAL	2,545,000
GOODS TRANSPORTERS	
TRUCKS & CANTERS (DYNA FOR EX.)	-
FORKLIFT DIESEL 1.5 TON	90,000
HANDLING EQUIPMENT	-
SUB-TOTAL	90,000
AUTOMATION	
HDG FUME EXTRACTION UNIT	330,000
SUB - TOTAL	330,000
GRAND TOTAL	2,965,000

2018

DESCRIPTION	AED.
NEW EQUIPMENTS	
MACHINES	-
PANEL BENDER/ROBOTIC BENDING	2,000,000
LATH MACHINE	400,000
C CHANNEL MACHINE (2 MACHINES)	4,000,000
SUB - TOTAL	6,400,000
GOODS TRANSPORTERS	
TRUCKS & CANTERS (DYNA FOR EX.)	100,000
FORKLIFTS MOTORIZED	-
HANDLING EQUIPMENT MAINTENANCE CRANE	50,000
TOOL TABLE	30,000
SUB - TOTAL	180,000
AUTOMATION	
TRUNKING LOCK AUTOMATION	100,000
HDG SMALL PARTS AUTOMATION	120,000
SUB - TOTAL	220,000
GRAND TOTAL	6,800,000

SFSP REQUIREMENTS DURING 2017 AND UPCOMING REQUIREMENTS IN 2018



SFSP EGYPT

COMMENTS:

SFSP EGYPT IS LOOKING FOR THE POTENTIAL IN THE AFRICAN MARKETS AND WE SHOULD TAKE THE ADVANTAGE OF THE AVAILABLE OPPORTUNITIES IN THESE MARKETS, AND ENABLE TO EXECUTE AND COMPETE WITH THE TARGET MARKET THEN INVESTMENTS HAS TO BE DONE IN SFSP-EGYPT TO BE ABLE TO DO THAT.

SFSP EGYPT, LOOKING FORWARD TO BUILD HDG FACILITY THAT WILL CREATE COMPETITIVE ADVANTAGE AND WOULD GENERATE NET PROFIT MUCH MORE THAN WHAT WE ARE DOING NOW AND WILL HELP TO DUPLICATE OUR REVENUES.

2017

DESCRIPTION	EGP.
NEW EQUIPMENTS	
COMPUTER	5,000
LAPTOP	5,000
COPIER	-
PRINTER	5,000
CABLE TRAY MACHINE (PRESS + FEEDER)	2,400,000
ROLLING MACHINE	290,000
DIES	600,000
SUB - TOTAL	3,305,000
GOODS TRANSPORTERS	
TRUCKS & CANTERS (DYNA FOR EX.)	-
CHEVROLET JUMBO 7500 NPR	352,000
BOX	30,000
SUB - TOTAL	382,000
GRAND TOTAL	3,687,000

2018

DESCRIPTION	EGP.
RENOVATION	
WAREHOUSE STANDS	700,000
SUB - TOTAL	700,000
FURNISHINGS	
CHAIRS & DESKS	40,000
SUB - TOTAL	40,000
NEW EQUIPMENTS	
COMPUTER	20,000
LAPTOP	20,000
COPIER	20,000
PRINTER	10,000
HDG FACILITY (450 TON/MONTH - 3 LM)	20,000,000
SM MACHINES (BR MESH & CORNER BEAD)	8,000,000
DIES	750,000
SUB - TOTAL	28,820,000
GOODS TRANSPORTERS	
TRUCKS & CANTERS (DYNA FOR EX.) 7 TONS	-
CHEVROLET JUMBO 7500 NPR	375,000
BOX	40,000
SUB - TOTAL	415,000
GRAND TOTAL	29,975,000

SFSP REQUIREMENTS DURING 2017 AND UPCOMING REQUIREMENTS IN 2018



SFSP LEBANON

2017

DESCRIPTION	USD.
NEW EQUIPMENTS	
MACHINES	-
COMPRESSOR 500 LTR. WITH SCREW TYPE	5,000
FLANGE MACHINES	-
AUTOMATIC TRANSFER DIE FOR FLAT HEAD BOLT	13,500
DIES**	6,000
DIES FOR LINTEL	750
DIES FOR C CHANNEL	700
OTHERS (EXHAUST FANS, OIL COOLER ETC...)	-
SUB - TOTAL	26,000
GRAND TOTAL	26,000

** FOR THREADING AND PIN WITH RING AND FLATTEN MACHINES

2018

DESCRIPTION	USD.
NEW EQUIPMENTS	
MACHINES	-
CNC MACHINE	2,000
BENDING MACHINE	16,000
LATH MACHINE	-
COMPRESSOR	-
SURFACE GRINDER	4,000
DIES FOR STAMPING AND CUTTING	3,000
OTHERS (OIL COOLER)	1,000
SUB - TOTAL	26,000
GRAND TOTAL	26,000

COMMENTS:

SFSP LEBANON, HAVE NO PRESSURES IN TERMS OF DELIVERY, ALL PENDING ORDERS ARE MANAGEABLE TO DELIVER ON TIME BASE ON THE REQUIREMENT.



PROCESS OF SFSP KSA MOVING INTO THE NEW FACILITY (JIC-3)



PROCESS OF SFSP KSA MOVING INTO THE NEW FACILITY (JIC-3)



SFSP KSA | CURRENT SITUATION AND PREPARATION PLAN TO MOVE INTO THE NEW FACILITY (JIC-3)

SFSP KSA JIC3 CURRENT SITUATION OF SHIFTING OF 5 BUILDINGS INCLUDING HDG PLANT, IS EXPLAINED BELOW.
THIS IS THE PROPOSED TIME LINE OF SHIFTING THE FACILITIES ALONG WITH THE SHIFTING ESTIMATION COST OF AMOUNTING TO SAR. 400, 000

BUILDING	FINISH DATE	PENDING
PRODUCTION F1	15 APR 2017	20% OF EPOXY FLOORING, COMPRESSED AIR NETWORK AND ELECTRICAL WIRING
PRODUCTION OFFICES F1	15 APR 2017	WINDOWS, DOORS AND DATA CONNECTION
PRODUCTION F2	15 APR 2017	COMPRESSED AIR NETWORK CONNECTION AND TESTING
PRODUCTION OFFICES F2	15 APR 2017	WINDOWS, DOORS AND DATA CONNECTION
WAREHOUSE	FINISHED	-
WAREHOUSE OFFICE	15 APR 2017	WINDOWS, DOORS AND DATA CONNECTION
HDG PLANT	20 JUN 2017	ANI TO COMPLETE THE INSTALLATION, CHANGING BURNERS TESTING AND COMMISSIONING
HDG PLANT OFFICE	01 MAY 2017	WINDOWS, DOORS AND DATA CONNECTION
OFFICE BUILDING	01 JUN 2017	WINDOWS, DEMOUNTABLE PARTITIONS, DOORS, PAINTING, DATA CONNECTION AND FURNITURE
EXTERNAL WORK	01 MAY 2017	GUARDS ROOM, TRUCK SCALE

FROM SFSP MERSAL TO BE TRANSFERRED	START DATE	END DATE	FROM SFSP JIC 1 TO BE TRANSFERRED	START DATE	END DATE
GENERATORS	24 MAR 2017	26 MAR 2017	CHANNEL LINES	03 MAY 2017	10 MAY 2017
COMPRESSORS	27 MAR 2017	29 MAR 2017	CABLE TRAY LINE	11 MAY 2017	20 MAY 2017
STANGLE	30 MAR 2017	08 APR 2017	BENDERS	21 MAY 2017	27 MAY 2017
CHUTE	09 APR 2017	15 APR 2017	PRESSES	21 MAY 2017	27 MAY 2017
BLOCK LADDER	16 APR 2017	18 APR 2017	ROBOTS	28 MAY 2017	03 JUN 2017
GYPSUM BOARD PROFILE	19 APR 2017	22 APR 2017	CNC AND WELDERS	04 JUN 2017	24 JUN 2017
EXPANDED METAL	23 APR 2017	02 MAY 2017	OFFICES	15 JUN 2017	10 JUN 2017



THANK
YOU